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EQUITY NOTE · BANKS · 29 OCTOBER 2026

BNP Paribas

BNP FP · Euronext Paris · ISIN FR0000131104 · Diversified European bank

The market is pricing France, not the bank: a 7% earnings beat left the shares flat at 0.89x tangible book.

RATING

Buy

Target price	€116
Price (29/10/2026)	€87.65
Potential	+33%
Dividend yield 2026E	7.0%

01 Investment thesis

We initiate on BNP Paribas with a BUY rating and a target price of €116, 33% above the 29 October close of €87.65. At 0.89x tangible book value, the share price implies a long-term return on tangible equity of about 10%. The bank is already earning 13.2% this year and targets more than 13% in 2028. We think the gap is a discount for French political risk that BNP's business mix does not justify.

Three reasons

- **Profitability has stepped up.** Nine-month net income rose 19% to €11.0bn and ROTE reached 13.2%, against 11.4% a year earlier. Revenue grew 10% while costs grew 7%, so the cost/income ratio is falling as planned.
- **France is a smaller part of the bank than the price suggests.** France generated under 10% of 2025 pre-tax income, half its 2016 share. The €19bn

of French government bonds is mostly at amortised cost: another 50 bp of spread would cost 0.02 points of CET1.

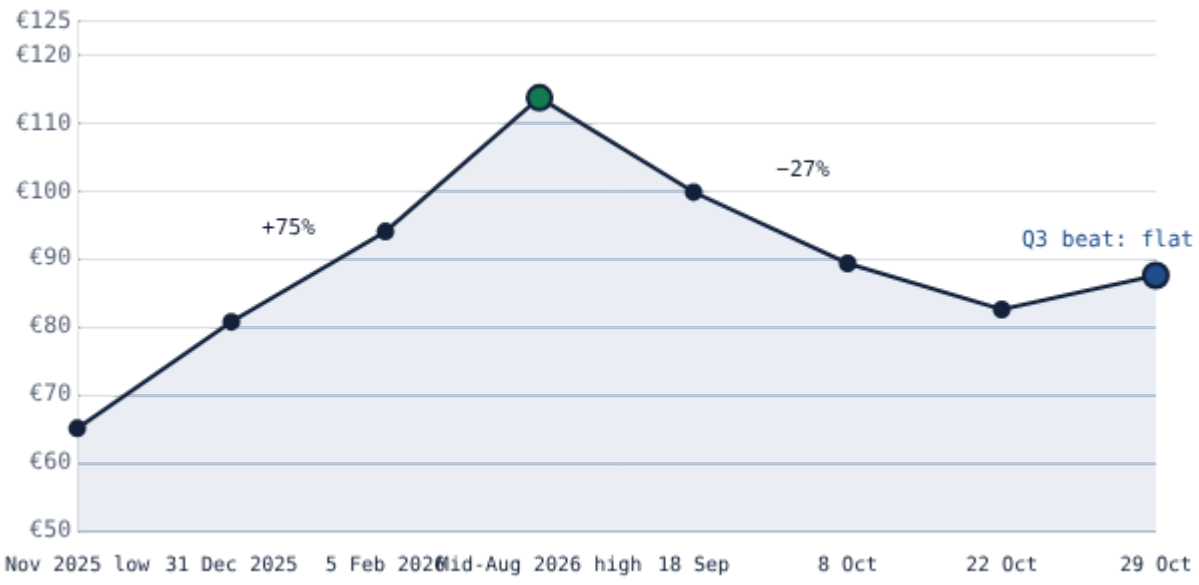
- **Shareholders are paid to wait.** A 60% payout gives a 7% dividend yield on 2026 estimates, plus a €1.3bn buyback starting in November. Management is considering raising the payout to 70%.

> WHAT WOULD MAKE US WRONG
>
> The market may be right that French risk is not finished. A sovereign downgrade, a budget crisis or a domestic recession would raise BNP's cost of funding and of risk at the same time. The other open item is the US Sudan litigation, where the bank has made no provision.

02 The surprise: a beat the market ignored

BNP Paribas is a case of a stock that surprised the market twice in one year. It rose about 75% from €65 in November 2025 to a record €113.8 in mid-August 2026, its first new high since 2008. It then fell 27% in two months as French 10-year yields climbed from 3.8% to above 5% and the budget crisis turned into street protests. On 28 October the bank reported Q3 net income of €3.46bn, 7% above the €3.23bn consensus. The shares opened 1.5% lower and finished the day flat.

Exhibit 1 **Share price, November 2025 to October 2026 (€)**



Selected closes and reported levels. Sources: Bourse Direct, abcbourse, Admiral Markets, Trading Economics, Boursorama, Zonebourse.

Q3 2026	ACTUAL	CONSENSUS	VS CONSENSUS	VS Q3 2025
Revenue	€13.76bn	slightly lower	beat	+9.5%
Net income, group share	**€3.46bn**	**€3.23bn**	**+7.0%**	**+13.5%**
Cost/income ratio	58.3%	n/a	n/a	−2.3 pts
Cost of risk	39 bp	n/a	n/a	guidance <40 bp
Equities & prime services revenue	€1.46bn	n/a	n/a	+50%

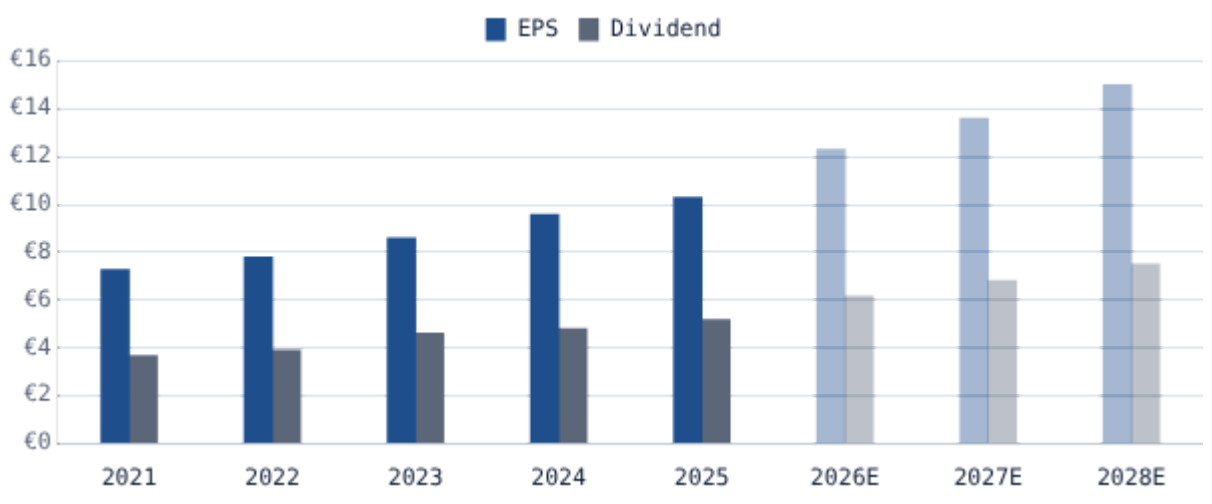
The reaction tells us what investors are looking at. The earnings beat came mainly from equity trading in the investment bank, which the market tends to treat as volatile. At the same time, French bank shares were trading on the OAT spread, not on results: Société Générale and Crédit Agricole SA fell about 25% and 19% from August to mid-October, in line with BNP.

03 Earnings: history and estimates

€BN, EXCEPT PER SHARE	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Revenue (net banking income)	n/c	n/c	n/c	48.8	51.2	55.4	57.8	60.3
Cost/income ratio	n/c	n/c	n/c	61.8%	61.2%	59.5%	57.5%	55.8%
Net income, group share	**9.49**	**10.20**	**10.98**	**11.69**	**12.23**	**14.4**	**15.6**	**17.0**
EPS (€)	7.26	7.80	8.58	9.57	10.29	12.30	13.60	15.00
Dividend per share (€)	3.67	3.90	4.60	4.79	5.16	6.15	6.80	7.50
ROTE	n/c	n/c	n/c	10.9%	11.6%	12.5%	12.8%	13.0%

A = reported, E = Puccetti Capital Research estimate, n/c = not comparable after the IFRS 17 and AXA IM restatements. 2026E = 9M actual (€11.0bn net income, EPS €9.36) plus our Q4 estimate. Sources: company releases, MarketScreener.

Exhibit 2 **EPS and dividend per share (€)**



EPS grew at 9% a year from 2021 to 2025, helped by buybacks funded with the $16.3bn sale of Bank of the West in 2023. Our 2026 estimate of €12.30 is 20% above 2025 and in line with the 7.1x P/E quoted on consensus.

For 2027-2028 we assume revenue growth slows to 4%, savings of €1bn a year push the cost/income ratio below 56%, and cost of risk stays near 38 bp. That gives net income growth of about 12% a year from 2025 to 2028, just above management's "more than 10%" target.

04 Capital, liquidity and the French exposure

INDICATOR	LEVEL	COMMENT
CET1 ratio	12.9%	Target above 13% by end-2026, helped by the BMCI sale
Leverage ratio	4.4%	Regulatory minimum 3%
Liquidity coverage ratio	139%	Minimum 100%
Tangible book per share	€98.4	30 June 2026, up 6% in a year
French government bonds	≈€19bn	€16bn at amortised cost
France in pre-tax income	<10%	2025, about half the 2016 share

BNP's capital position has improved steadily, from 12.6% CET1 at end-2025 to 12.9% in September despite a 15 bp hit from buying Athlon. That leaves room for the €1.3bn buyback and possibly a higher payout from 2027.

The French sovereign exposure is small relative to a balance sheet above €3,000bn, and most of it is held to maturity, so price swings do not reach capital. The bigger French risk is indirect: a weaker economy would raise loan losses in French retail banking, and higher OAT yields lift the cost of funding for all French issuers.

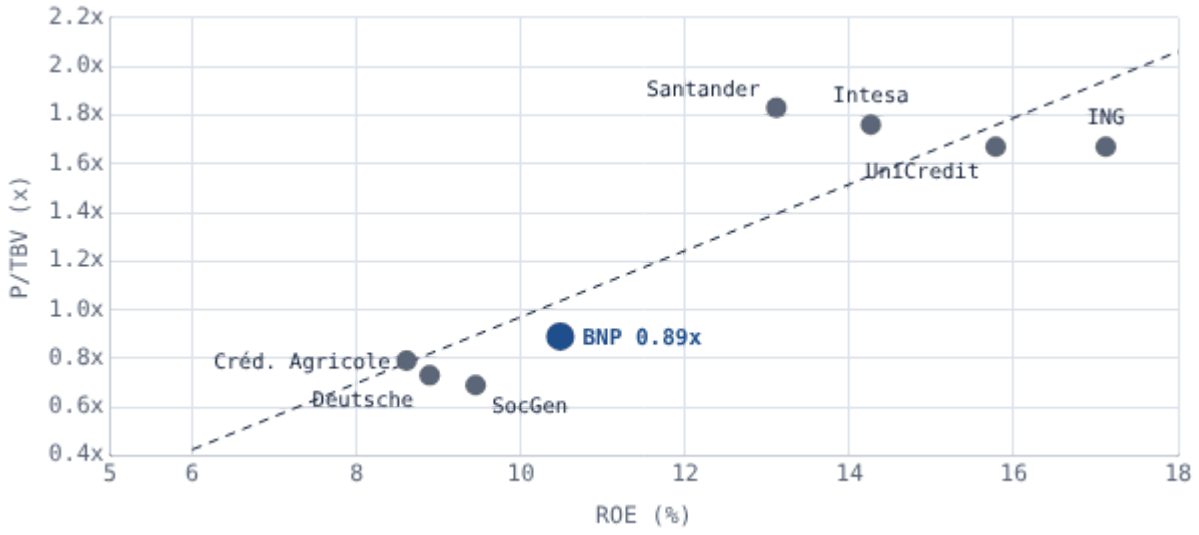
05 Valuation against European peers

Banks are valued on book value and earnings, not on cash flow: a bank's debt is its raw material, so a DCF on free cash flow has no meaning. The key relationship is between price-to-tangible-book and return on equity: banks that earn more than their cost of equity trade above book.

BANK	COUNTRY	P/E (FWD)	P/TBV	ROE	DIV. YIELD
BNP Paribas	**France**	**7.1x**	**0.89x**	**10.5%**	**5.9%**
Société Générale*	France	7.1x	0.69x	9.5%	2.0%
Crédit Agricole SA	France	6.4x	0.79x	8.6%	7.5%
Deutsche Bank	Germany	7.5x	0.73x	8.9%	3.6%
Santander	Spain	10.1x	1.83x	13.1%	2.2%
UniCredit	Italy	9.6x	1.67x	15.8%	4.2%
ING	Netherlands	10.5x	1.67x	17.1%	4.6%
Intesa Sanpaolo	Italy	9.9x	1.76x	14.3%	6.2%
Median (peers)		**9.6x**	**1.67x**	**13.1%**	**4.2%**

StockAnalysis, 16-29 October 2026; ROE is trailing twelve months. *Société Générale multiples rescaled from 28 August data to the 22 October close (€59.72).

Exhibit 3 **P/TBV against ROE**



Line: least-squares fit on the seven peers, P/TBV = −0.39 + 0.136 × ROE (R^2 0.79).

The fit is strong: return on equity explains about 80% of the difference in valuation. On its trailing ROE of 10.5%, BNP should trade at 1.04x tangible book, or €102. On our 2026 ROTE of 12.5% the same line gives €129. We retain the trailing figure to stay consistent with the peers' trailing data.

On P/E the picture is clearer still. Non-French peers trade at 9.6-10.5x forward earnings, French banks at 6.4-7.1x. Applying the peer median of 9.6x to our 2026 EPS of €12.30 gives €118.

06 Excess-return model (main method)

Our main valuation adds to today's tangible book the present value of the profits BNP earns above its cost of equity. It is the bank-specific version of a DCF: value is created only when ROTE exceeds the cost of equity.

ASSUMPTION	VALUE
Risk-free rate (French 10-year OAT)	4.95%
Equity risk premium	5.50%
Beta (5-year 1.07, Blume-adjusted)	1.05
Cost of equity	**10.7%**
Long-term growth	3.0%
Starting tangible book per share	€98.4
Payout (dividends + buybacks)	60%

SCENARIO	ROTE PATH TO 2030	VALUE	POTENTIAL
Bear: French recession	11.5% → 11.0%	€103	+17%
Base: 2028 plan met	**12.5% → 13.0%**	**€130**	**+48%**
Bull: 2030 ambition	13.0% → 15.0%	€156	+78%

Even the bear case lands above the current price, because a 10.7% cost of equity against an 11% ROTE still creates a little value on a book of €98. The market price is consistent only with a sustainable ROTE of about 9.9%, below what the bank earned in 2024.

Exhibit 4 **Sensitivity: value per share (€) by cost of equity and long-term ROTE**

COE \ ROTE	11%	12%	13%	14%	15%
9.7%	123	137	150	164	178
10.2%	115	127	139	152	165
10.7%	107	118	**130**	141	153
11.2%	100	111	121	132	143
11.7%	94	104	114	124	134

Each 1 point of ROTE is worth about €11-12 per share; each 50 bp of cost of equity about €8-9.

07 Dividend discount model

We discount our cash dividend forecasts (50% of earnings: €6.80 in 2027, €7.50 in 2028), with growth fading from 8% to 3% over the following five years, at the 10.7% cost of equity. Buybacks are excluded, so this is a floor.

MODEL	VALUE
Gordon-Shapiro (€6.80, g 3%)	€88
Multi-stage, cash dividends (retained)	**€102**
Multi-stage incl. 10% buyback payout	€122

08 Target price and recommendation

Exhibit 5 **Valuation range by method (€ per share)**



Bars: low to high. Dot: central value. Dashed line: price €87.65. Solid line: target €116.

METHOD	CENTRAL	WEIGHT	LOW	HIGH	POTENTIAL
Excess-return model (base)	€130	40%	€103	€156	+48%
Peers P/E (median 9.6x)	€118	20%	€79	€130	+35%
Peers P/TBV vs ROE	€102	20%	€89	€129	+16%
Dividend discount model	€102	20%	€88	€122	+16%
French peers P/E only (memo)	*€83*	*0%*	*n/a*	*n/a*	*−6%*
Target price (weighted)	**€116**	**100%**			**+33%**

The excess-return model gets the largest weight because it ties value directly to the profitability the bank reports and targets. The market-based methods get 40% together. We show the French-peers-only P/E as a memo line: it is the one

way to justify today's price, but only by assuming BNP deserves the same discount as banks with three to four times its share of revenue in France.

> RECOMMENDATION · BUY · TARGET €116
>
> Our target is 33% above the current price and close to the 19-analyst consensus of €119. Every method except the French-only P/E points above today's price. We would revisit the rating if Moody's cut France's Aa3 rating, bringing it in line with the A+ already given by S&P and Fitch, if the cost of risk rose above 50 bp, or if the Sudan appeal failed and a provision became necessary.

09 Risks and catalysts

Risks

- **French sovereign stress.** The 10-year OAT went above 5% in October and Moody's has a negative outlook on France's Aa3 rating.
- **Sudan litigation (US).** A jury awarded $20.75m to three plaintiffs in October 2025; plaintiffs' lawyers speak of 20,000 potential claimants. BNP is appealing and has made no provision.
- **Trading revenue.** Q3 equity trading grew 50%; that level is unlikely to repeat every quarter.
- **Arval.** Weak used-car prices cut leasing revenue by 29% in Q3.
- **Cost of equity.** Each 50 bp on the cost of equity moves our main value by about €9.

Catalysts

- **€1.3bn buyback** from 2 November 2026.
- **Strategic plan, 2 February 2027:** 2030 targets and a possible payout increase to 70%.
- **CET1 above 13%** at year-end, with the BMCI sale.
- **French 2027 budget vote** and the next rating reviews.
- **Sudan appeal ruling** at the US Court of Appeals.

Method and sources. Reported figures come from BNP Paribas results releases (FY2025, H1 and Q3 2026) and MarketScreener for 2021-2025 history. Estimates are our own. Peer data from StockAnalysis at the dates indicated, not adjusted for accounting differences.

Disclosure. Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in BNP Paribas. Not investment advice.

1. Q3 2026 press release · FY2025 slides · H1 2026 appendices · MarketScreener history
2. Reuters on the Q3 beat · Euronews · Q3 call · buyback
3. Share price: Zonebourse · Boursorama · Admiral Markets · Trading Economics · abcbourse · Bourse Direct · BFM Bourse
4. Peers: BNP · Société Générale · Crédit Agricole · Deutsche Bank · Santander · UniCredit · ING · Intesa
5. Sudan: Reuters, Oct 2025 · appeal certification · Rates: French OAT